

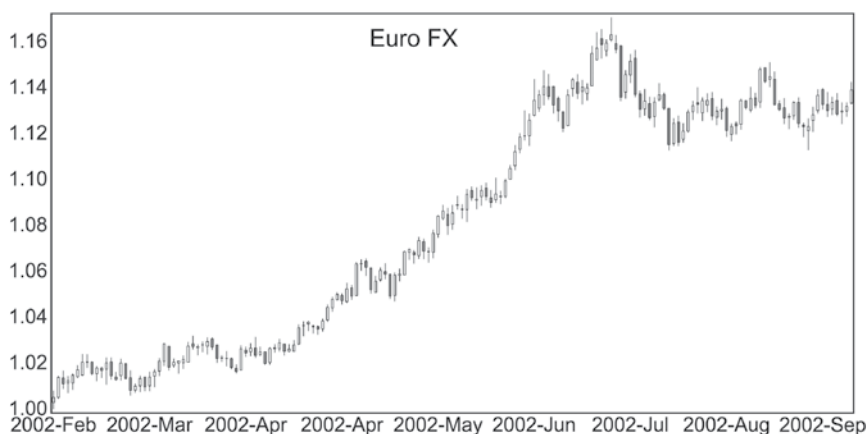


FIGURE 6.6 Long trend in the Euro.

were hit, we stayed on the long side. By April, the Euro futures price took off and we saw a powerful trend from 1.02 all the way up to 1.16. This greatly contributed to the bottom line profits of the strategy, and we saw a very similar pattern in other currency markets during this time. The effect of this can clearly be seen in Figure 6.3, where we could see the currency sector adding about 10% to the strategy from May to August. Dollar weakness was a general theme this year, with the dollar falling throughout the year, giving us profits in almost all currency markets.

By the end of our first year, we managed to score a success of 27% return on our capital (Table 6.3). That is an incredibly strong year. If you believe that a near 30% return is somehow too low, then you should stay away from trading. Despite what influencers and self-proclaimed trading gurus might claim, such an extreme return is unsustainable in real life and over longer time periods, practically no one has ever realized such gains over time. In any given year, anything can happen, and you can occasionally see much larger gains, but you will also see much lower as well as negative years.

TABLE 6.3 Sector results 2002

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	10.3	9.0	-1.1	-5.2	21.1	34.0
Short	1.0	-7.6	-10.0	11.5	-4.4	-9.5
Total	10.8	1.4	-10.6	6.7	16.4	24.7